

2015 SCC OnLine All 3916

(BEFORE SURYA PRAKASH KESARWANI, J.)

Paschimanchal Vidyut Vitaran Nigam Ltd. &
Another Petitioners

v.

Commissioner Moradabad Region & Another
Respondents

Counsel for Petitioner:- Ms. Usha Kiran

Counsel for Respondent:- C.S.C., R.P.S. Chauhan

Writ - C No. - 7006 of 2015

Decided on February 6, 2015

SURYA PRAKASH KESARWANI, J.:— Heard Ms. Usha Kiran, learned counsel for the petitioners, Sri K.K. Rai, learned Additional Chief Standing Counsel for the respondent no. 1 and Sri R.P.S. Chauhan, learned counsel for the respondent no. 2.

2. In this writ petition the petitioner has prayed for a writ, order or direction in the nature of certiorari to quash the impugned judgment and order dated 11.12.2014 passed by the Commissioner, Moradabad Division Moradabad in Appeal No. 2/2011-12.

3. By the impugned order, the respondent no. 1 has set aside the assessment order passed by the petitioners determining the liability of the respondent no. 2 with respect to consumption of electricity by theft.

4. Submission of learned counsel for the petitioners is that in Writ C No. 20679 of 2010, the petitioner has challenged the assessment order dated 15.12.2007 as well as the appellate order dated 1.4.2010 and this Court framed three issues. The issues, namely, whether the respondent no. 2 can be held guilty merely on account of being owner of the premises in question and whether the assessment has been made by the A.O. in accordance with the procedure laid down in the statute; were answered in favour of the petitioners and against the respondent no. 2. However on the allegation of the respondent no. 2 that the trial court has acquitted him in SST No. 69/2008, the matter was remitted back to the respondent no. 1 to examine the case in the light of judgment of trial court in SST Case No. 69/2008 as well as paragraph 8.2 (X)(G) and (H) of Supply Code-2005. She submits that for limited purpose, the remand was made but by the impugned order the respondent no. 1 has reversed finding of this Court in the judgment dated 18.11.2011 on Issue No. (a) and (b).

5. She submits that the question whether the respondent no. 2 is liable. has become final by the aforesaid judgment of this Court. She

submits that it is a case where electricity was consumed by connecting the transformer with a cable to run Ice factory. She, therefore, submits that the impugned order passed by the respondent no. 1 is in conflict with the judgment of this Court dated 18.11.2011, and, therefore, the impugned order deserves to be set aside.

6. Learned counsel for the respondent no. 2 submits that since the respondent no. 2 has been acquitted in the criminal trial, and therefore, no liability can be fastened upon him with regard to theft of electricity.

7. I have carefully considered the submission of learned counsel for the parties on stay application.

8. Prima facie, I find that in Writ C No. 20679/2010 filed by the respondent no. 2 and decided on 18.11.2011, following issues were framed:

- “(a) Whether the petitioner can be held guilty merely on account of being owner of the premises in question.
- (b) Whether the assessment has been made by the A.O. in accordance with the procedure laid down in the Statute.
- (c) Whether the Court would be justified in interfering with the orders impugned in this writ petition in its equitable extraordinary jurisdiction under Article 226 of the Constitution of India.”

9. After considering the provisions of Section 2(15), Section 2(77) and Section 135 of the Electricity Act, 2003, this Court recorded the following findings in paragraph no. 33, 34 and 35 of the judgment dated 18.11.2011:-

“33. A cumulative, comprehensive and harmonious reading of the aforesaid ‘definitions’ in the context of the issue, this Court has no hesitation in saying that if a person's premises is connected in any manner with anything which is capable of carrying electricity belong to Electricity Supply Undertaking (Licensee), that person would be covered by the definition of “Consumer”. The suggestion is made that if a premises is let out to someone and such tenant is occupying commits some offence, it would not be justified to penalize/victimize the owner for something over which neither he has any control nor is otherwise the breach can be attributed to him. The submission at first flush appears attractive but lack substance. As already said in order to constitute offence the elements of mens rea is clearly contemplated by Section 135 and, therefore, on owner lack of mens rea can never be penalize for an offence committed by his tenant etc. but it cannot be said that in order to cause revenue loss to the licensee he has not done anything, it is his act of leasing out the property to an unscrupulous person if has caused a loss to the licensee, for the purpose of revenue assessment, I do not find any reason not to cover him within the definition of ‘Consumer’

particularly when there is nothing expressed or impliedly in the definition of 'Consumer' to exclude him. It is well established principle of interpretation that a statute otherwise straight unambiguous and clear should be given a simple interpretation born out from the language and no violence should be done by twisting the clear and unambiguous phrases of the statute.

34. Here the petitioner had not disputed that the premises in question is owned by him. He for the time being tried to dislodge his liability on the ground that the premises in question is/was let out to someone else. Even if for the moment petitioner's plea is taken to be correct, that would not make any difference. If at the concerned premises theft is detected, for the purpose of Section 135, the proceedings can be initiated against the petitioner and the mere fact that premises is let out to someone else would make no difference. It may be a different thing that petitioner in such circumstances may have a defence of the existence of mens rea on his part which is a condition precedent for attracting 'offence' under Section 135 of Act, 2003 but that is a matter to be seen during the course of trial. For our purposes the Section 135 would be attracted to the petitioner if he is owner of the premises.

35. However, I intend to place on record that the factum that premises in question was let out to someone else was not substantiated by petitioner and has been disbelieved by A.O. as also by the Appellate Authority. Before this Court also nothing has been shown to substantiate above plea. In the circumstances the issue no. 1 is answered against petitioner and in favour of respondents holding that petitioner can be held guilty merely on account of he being owner of premises in question."

10. Thus, it was clearly held that the petitioner can be held guilty on account of being owner of premises in question.

11. Thereafter this Court proceeded to consider the above noted question no. (b) and held in para 45 and 46 as under:

"45. So far as the present case is concerned, however, the lapse as discussed above may not help the petitioner for the reason that in reply dated 31.5.2007 submitted by petitioner, his only defence was about letting out premises to Smt. Manorama Singh. He said nothing on other aspects. The A.O. in these circumstances held by order dated 22.6.2007 that checking report demonstrated illegal use of electricity without any valid connection for running an ice factory at petitioner's premises which constitute theft of electricity. In absence of any explanation from petitioner his reply was rejected.

46. The assessment under paragraph 8.1(b)(IV) was to be made at 1.5 times the rates of normal tariff but in the present case it was made at thrice the rate and A.O. directed petitioner to pay amount of

assessment by order dated 22.6.2007. This was/is the final order of assessment. It is true that A.O. can make final assessment only when he has held that a case of theft has been established. This Court has taken the view that it is not mere suspicion but a clear reasoned finding has to be recorded to prove the charge of theft. Here also the lapse however, would not help the petitioner. In the present case checking report was already available with the petitioner which alleges detection of theft at his premises in respect where to nothing was stated by petitioner in his reply dated 31.5.2007. Truly but unfortunately order dated 22.6.2007 is not written in the manner so as to establish the charge of theft against petitioner before making provisional assessment, final but it is quite understandable that it was so written since petitioner's representation did not contain any reply on this aspect and thus was rejected and petitioner was advised to make payment. Hence in the peculiar facts of this case I do not find any fault with A.O. order dated 22.6.2007."

12. Thus, by the judgment dated 18.11.2011 passed in Writ C No. 20679/2010, this Court found no fault in the assessment order dated 20th June, 2007. It was further observed in paragraph no. 52 and 53 that though negligence, recklessness on the part of the officers is glaring and too repeated but for reasons above, in the absence of anything further, no advantage can be extended to the petitioner (respondent no. 2 herein) and no interference can be made for the reason that heinous crime like theft of electrical energy from the record available before this Court demonstrably has been committed at the premises in question owned by the respondent no. 2. However, the Court modified the appellate order to the extent that Commissioner shall examine the matter in the light of the judgment of trial Court in SST No. 69/2008 as well as paragraph no. 8.2(X), (G) and (H) of the Supply Code, 2005 and pass an appropriate order in accordance with law and for the said purposes the appeal of the respondent no. 2 shall be treated to be pending before the Commissioner. Thereafter, the Commissioner passed the impugned order dated 11.12.2014 wherein he recorded a finding that to obtain electricity connection was the responsibility of the Ice Factory and not of the owner of the premises i.e. respondent no. 2 and authorities have not examined that in what manner the respondent no. 2 was the partner in the Ice Factory.

13. He also recorded a finding that the action taken by the petitioner authorities was not in accordance with Section 135 of the Electricity Act. Lastly, he recorded a finding that the liability fixed against the respondent no. 2 is against the judgment in SST No. 69/2008 passed by Court of Special Judge (Electricity Act), Moradabad.

14. Prima facie, I find that by judgment dated 18.11.2011 passed in Writ C No. 20679/2010 the matter was remanded to the Commissioner for a very limited purposes. The question No. (a) and (b) as framed in the said judgment and quoted above were answered against the respondent no. 2. Assessment order was held to be valid.

15. Prima facie I find that the Additional Commissioner has traveled beyond remand the direction given in the judgment dated 8.11.2011.

16. Prima facie I find that the finding recorded in the impugned order by the respondent no. 1 is contrary to the findings recorded by this Court on Question no. (a) and (b) in the judgment dated 18.11.2011.

17. In view of the above discussion, as an interim measure, it is provided that the operation of the impugned order dated 11.12.2014 passed by the respondent no. 1 in Appeal No. 02/2011-12 shall remain stayed till the disposal of this writ petition.

18. Respondents are directed to file counter affidavit within four weeks. Petitioner shall have two weeks thereafter to file rejoinder affidavit.

19. List after expiry of six weeks.

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